• INVESTOR PROTECTION GUIDE

The 5 *red flags* every penny stock investor should spot.

A field guide to the warning signs that show up *before* the chart breaks — across CSE, TSXV, and OTC promotional campaigns.

AUDIENCE	COVERAGE	SOURCES	READ TIME
Retail investors	CSE · TSXV · OTC	SEDAR+ · SEDI · EDGAR	~ 8 minutes

// WHAT'S INSIDE

The penny stock market moves fast — it rewards the informed and punishes the careless.

Every week, retail investors lose money not because they picked the wrong sector or timed the market badly, but because they ignored warning signs that were visible **before** they ever placed a trade. Recognising one of these flags can save thousands.

// THE FIVE FLAGS

01	Anonymous Promotion	SEVERE
02	Dilution Risk	SEVERE
03	Substance Mismatch	HIGH
04	Insider Activity	HIGH
05	Narrative Drift	MOD.

About this guide. PennyStocksNow.com tracks every public filing and disclosure in which a small-cap company hires a marketing, IR, or market-making firm — sourced directly from SEC, TSXV, and CSE filings. This is the playbook we built for spotting the bad ones early.

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01

RED FLAG · PROMOTION

Anonymous Promotion

The promoter cannot be identified — and that is not an accident.

SEVERITY

SEVERE

Legitimate investor awareness campaigns are required by law in Canada and the United States to disclose **who is paying for the promotion** and **how much they are being paid.** This disclosure must appear clearly in the promotional materials themselves — not buried in fine print, and not absent entirely.

When you receive an unsolicited email, text message, or social-media post promoting a stock and there is no clear disclosure of who funded it, that is one of the clearest signals in the market that something is wrong. Legitimate promoters have nothing to hide. Their compensation, identity, and relationship to the issuer are all disclosed because the law requires it.

> *"Anonymous promotion is almost always associated with campaigns where insiders are positioning to sell into the volume the campaign creates."*

They stay anonymous precisely because disclosure would end the campaign before it started. The named, regulated firms we track on PennyStocksNow.com file their engagements publicly, with dollar figures, terms, and tickers attached. The bad actors do not.

WHAT TO DO ✓

- [ ] Search every promo for a disclaimer naming the firm being paid.
- [ ] Verify the dollar amount paid for the campaign.
- [ ] Check whether the firm holds shares in the issuer.
- [ ] If any of the above is missing — stop reading and move on.

✓ PROPERLY DISCLOSED Apr 2026

Marketing Company Name · USD$XXX · X-mo term

Firm named, fee disclosed, term defined, shares-or-options compensation listed in TSXV filing. **This is what compliant promotion looks like.**

⚠ ANONYMOUS — stop —

"Hot tip — buy $XXXX now"

Unsolicited email, no firm named, no compensation disclosed, no SEDAR or EDGAR record. **Always a sell signal for retail.**

02

RED FLAG · STRUCTURE

Dilution Risk

The share structure is loaded with cheap paper waiting to sell.

SEVERITY

SEVERE

Before you look at a chart, before you read the press releases, the first thing a serious small-cap investor checks is the **share structure.** That means understanding how many shares are outstanding, how many are in the float, how many are held by insiders — and critically, how many shares were issued in private placements at prices far below the current market price.

When a company has millions of shares sitting in private-placement holders' accounts at prices of a penny or two, and the stock is being promoted at ten or fifteen cents, those holders have an enormous financial incentive to sell into any volume the promotion creates. This is called **cheap paper**, and it is the structural reason why so many promotion-driven rallies collapse as quickly as they rise.

> *"Cheap paper is the structural reason why so many promotion-driven rallies collapse as quickly as they rise."*

You can find share structure information in SEDAR+ filings for Canadian issuers and SEC EDGAR filings for US OTC companies. Look at the most recent private-placement terms. **If shares were issued at a fraction of the current trading price with hold periods that are about to expire**, that is a serious red flag regardless of how compelling the promotional materials look.

WHAT TO DO ✓

- [ ] Pull the most recent financials from SEDAR+ or EDGAR.
- [ ] Find every private placement issued in the last 12 months.
- [ ] Compare placement price to today's market price.
- [ ] Note when the 4-month-and-1-day hold period expires.
- [ ] Map free-trading dates against any active promo campaign.

WHERE TO LOOK ↗

CA **SEDAR+**
Canadian issuer financials, MD&A, prospectuses, private-placement terms.

US **SEC EDGAR**
US filer 10-Q / 10-K / 8-K — share counts, recent issuances, warrants.

PSN **PennyStocksNow.com**
Cross-references active promo campaigns against the issuer's filing history.

03

RED FLAG · SUBSTANCE

Substance Mismatch

The news is big but the business is empty.

SEVERITY

HIGH

One of the most common patterns in promotional campaigns is the gap between the **scale of the announcement** and the **actual substance of the underlying business.** A company with no revenue, no employees, and no operational history issues a press release about a transformational partnership, a revolutionary technology, or a resource with billions of dollars of potential value. The stock moves on the headline. The business does not actually change.

Legitimate companies at the exploration or development stage issue news that is proportionate to where they actually are. Drill results reference specific intervals and grades. Partnership announcements name the partner and describe concrete terms. Financial milestones are measurable and verifiable.

> *"Always ask: what specifically changed today that was not true yesterday?"*

When a press release reads like a pitch deck, uses phrases like *game-changing potential* or *positioned to disrupt* without providing specifics, and cannot be verified against any publicly available third-party data, the announcement is likely designed to move a stock price rather than communicate genuine corporate progress.

WHAT TO DO ✓

- [ ] Read the actual press release, not the promo summary.
- [ ] Verify every claim against a third-party source.
- [ ] Check if the same claim has been recycled in earlier cycles.
- [ ] Strip out adjectives — what concrete action took place?

✓ CONCRETE — Verifiable

"42.3 m at 1.84 g/t Au from drill hole 25-04"

Specific interval, named hole, verifiable through assay lab certificate filed with SEDAR+.

⚠ VAGUE — Promo language

"Game-changing AI partnership unlocking generational value"

No partner named. No terms. No revenue impact. No filing. **Pitch-deck prose, not corporate news.**

04

RED FLAG · INSIDERS

Insider Activity

Insiders are selling shares while the promotion runs.

SEVERITY

HIGH

In Canada, insider trading reports are filed through **SEDI** — the System for Electronic Disclosure by Insiders — and are publicly searchable. In the US, insider transactions are disclosed through **SEC Form 4** filings. These documents tell you exactly what officers, directors, and major shareholders are doing with their own shares.

When a company's promotional materials describe the stock as a *generational opportunity* and the people who know the company best are selling shares into the market at the same time, that disconnect is one of the most reliable red flags available to retail investors. Insiders who genuinely believe in the upside of their company do not need to sell at current prices.

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Not all insider selling is suspicious — executives sell for tax planning, diversification, and personal financial needs. The red flag is **concentrated selling by multiple insiders during or immediately following a promotional campaign**, particularly in a company with no significant operational news to justify the promo activity in the first place.

WHAT TO DO

- [ ] Search SEDI at sedi.ca for Canadian companies.
- [ ] Pull SEC Form 4 history from EDGAR for US filers.
- [ ] Map insider transactions over the past 6–12 months.
- [ ] Overlay them against any promo campaign timeline.
- [ ] Treat clustered selling as a structural warning.

WHERE TO LOOK

CA

SEDI · sedi.ca

Insider transaction history for Canadian-listed officers and directors.

US

SEC EDGAR · Form 4

All open-market and option-exercise transactions by US insiders.

05

RED FLAG · NARRATIVE

Narrative Drift

The story keeps changing — and the ticker with it.

SEVERITY

MODERATE

Every successful junior company has a clear, consistent story that evolves with genuine operational progress — the flagship asset gets drilled, results come in, resources get defined, studies get completed. The narrative builds in a straight line because it is grounded in real work.

Promotional shells tell a different kind of story. The company starts as a gold explorer, pivots to cannabis, rebrands as an AI company, then becomes a critical minerals play. The assets change, the management team changes, the ticker symbol changes — and the promotional campaign starts fresh each time as though the previous chapter never happened.

> *"Real companies stay in their lane because they have genuine expertise and genuine assets in a specific area."*

Companies that reinvent themselves every twelve to eighteen months are almost always doing so because the previous story stopped generating investor interest — not because they found a better opportunity. Read the company's press releases from two and three years ago. If the answer is completely different from today, ask yourself **why**, and **who benefited from each reinvention.**

WHAT TO DO ✓

- [ ] Pull the issuer's press releases from 2–3 years ago.
- [ ] Note prior name(s), ticker(s), and stated business.
- [ ] Compare prior management to today's roster.
- [ ] Ask who benefited from each reinvention.

⚠ DRIFT PATTERN — Watch for

Cannabis → Crypto → AI → Critical Minerals

Three pivots in four years. Different ticker each round. Same shell, same insiders, fresh promo.

Stay ahead of *every* campaign.

PennyStocksNow.com tracks active investor-awareness and market-making engagements across the CSE, TSXV, and OTC — sourced directly from regulatory filings. Free weekly alert: know which stocks are being promoted before the volume hits.

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